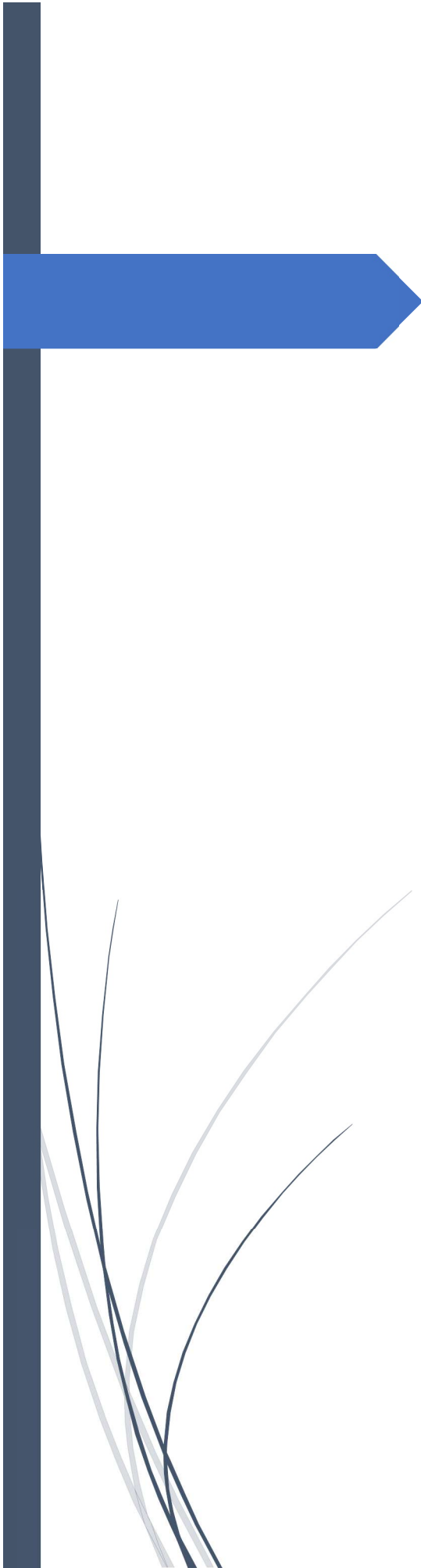




Hills Distribution Holdings LLC

July 2025 Financial Results

Hills Distribution Holdings LLC
Q2 2025
Operating Results

Table of Contents	Page
Index and Overview	1
Hills Distribution Holdings	
1. Consolidated Balance Sheet	2
2. Consolidated Statement of Operations	3
3. Consolidated Statement of Member's Equity	4
4. Consolidated Statement of Cash Flows	5
5. Comparative summary by operating subsidiary	6
6. Debt Compliance Calculation – P&H NI to EBITDA reconciliation	7-8

In accordance with the credit agreement Dated November 8, 2023, the following package seeks to comply with section 5.1(a), notably the financial information is unaudited.

Section 5.1 Financial Statements and Other Reports and Notices. Deliver to the Administrative Agent (which shall constitute delivery to the Lenders), which shall promptly make such information available to the Lenders in accordance with customary practice:

(a) Monthly Financial Statements. As soon as available, and in any event within 30 days after the end of each fiscal month other than the last fiscal month of each Fiscal Quarter, beginning with the fiscal month ending January 31, 2024 (provided that for the first four fiscal months following the Closing Date for which financial statements are required pursuant to this clause (a), the applicable period shall be 45 days), the consolidated balance sheet of the Borrowers and their Subsidiaries as at the end of such fiscal month and the related consolidated statements of income or operations, stockholders' equity and cash flows of the Borrowers and their Subsidiaries for such fiscal month and, setting forth in each case, beginning with the financial statements required to be delivered for the fiscal month ended December 31, 2024, where customary, in comparative form the corresponding figures for the corresponding periods of the previous fiscal month of the previous Fiscal Year, all in reasonable detail and prepared in accordance with GAAP, together with a Financial Officer Certification.

Hills Distribution Holdings LLC
Q2 2025
Operating Results

Consolidated Balance Sheet – Unaudited (Figures in \$000s)

	July 30, 2025	Dec 31, 2024
ASSETS		
Current assets		
Cash	19,639	11,475
Accounts receivable, net	20,889	21,391
Vendor rebate receivable	1,868	3,469
Other current assets	(0)	5,038
Inventory	67,730	65,201
Prepaid expenses	1,070	349
Total current assets	111,195	106,922
Property, plant, and equipment		
Leasehold improvements	20,741	20,683
Showroom	1,433	971
Data processing	173	252
Office furniture and equipment	187	119
Machinery	789	938
Vehicles	1,715	1,861
	25,039	24,824
Less: accumulated depreciation	(3,789)	(2,448)
	21,250	22,376
Construction in progress	-	424
Total property, plant, and equipment, net	21,250	22,799
Other assets		
Intangible assets, net	23,179	24,814
Goodwill, net	154,973	165,726
Other assets	431	497
Operating lease right of use assets	28,951	30,234
Total other assets	207,534	221,272
Total assets	339,979	350,994
LIABILITIES		
Current liabilities		
Accounts payable	13,484	10,987
Accrued liabilities	10,482	7,120
Accrued tax liability	(2,570)	481
Other current liabilities	-	3,472
Current portion of long-term debt	683	683
Current portion of operating lease liabilities	3,171	2,933
Total current liabilities	25,250	25,677
Long-term liabilities		
Deferred income tax liability	7,440	8,843
Long-term debt, net of current portion	137,473	138,561
Operating lease liabilities, net of current portion	26,788	28,364
Contingent tax liability	-	-
Total long-term liabilities	171,701	175,768
Equity		
Members equity	172,924	172,924
Current year income (loss)	(8,195)	(10,143)
Retained earnings	(21,700)	(13,232)
Total equity	143,029	149,549
Total liabilities and member's equity	339,979	350,994

Hills Distribution Holdings LLC
Q2 2025
Operating Results

Consolidated Statement of Operations – Unaudited (Figures in \$000s)

	<u>July 2025</u>
Net sales	26,640
Cost of goods sold	<u>17,846</u>
Gross profit	8,794
Gross margin	33.0%
Operating expenses	
Selling, general, and administrative	5,491
Depreciation and amortization	<u>1,973</u>
Total operating expenses	7,464
Gain (loss) from operations	1,330
Other (income) expenses	
Interest (income) expense	1,302
Nonrecurring/non operating expense	811
(Gain) loss on sale of assets	<u>-</u>
Total other (income) expense	2,113
Income (loss) before income taxes	(783)
Provision for income taxes	-
Net income (loss)	(783)

Hills Distribution Holdings LLC
Q2 2025
Operating Results

Consolidated Statement of Member's Equity – Unaudited (Figures in \$000s)

	As of July 2025
Member Contributions	172,924
PY Retained Earnings	(21,700)
June YTD Net Income	(8,195)
Total Equity	143,029

Hills Distribution Holdings LLC
Q2 2025
Operating Results

Consolidated Statement of Cash Flows – Unaudited (Figures in \$000s)

	<u>July 2025 - YTD</u>
Cash Flows from operating activities:	
Net (loss) income	(8,195)
Adjustments to reconcile net (loss) income to net cash provide by operating activities:	
Depreciation and amortization	13,900
Deferred income taxes	(1,403)
Accounts Receivable, net	503
Vendor rebate receivable	1,601
Inventory	(2,529)
Prepaid expenses	(721)
Operating lease ROU asset	(1,283)
All Other assets/Liabilities	5,403
Accounts payable	2,497
Accrued liabilities	3,362
Other current liabilities	(3,472)
Accrued tax liability	(3,051)
Operating lease liability	1,339
Contingent tax liability	-
Total Adjustments	<u>16,144</u>
Net cash (used) provided by operating activities	<u>7,949</u>
Cash flows from investing activities	
Proceeds from the sale of PP&E	-
Capital expenditures	215
Net cash paid for acquisitions	-
Net cash (used) provided by investing activities	<u>215</u>
Cash flows from financing activities	
Proceeds from issuance of long-term debt, net	
Debt repayments	-
Member contributions	-
Net cash (used) provided by financing activities	<u>-</u>
Net increase (decrease) in cash	<u>8,164</u>
Cash, beginning of the period	11,475
Cash, end of the period	<u>19,639</u>

Hills Distribution Holdings LLC
Q2 2025
Operating Results

Comparative Summary of Operating Subsidiary – ProForma (Unaudited) (Figures in \$000s)

<i>Billing Days</i>	22	22		
<i>Figures in \$000 B/(W)</i>	Jul-25	Prior Year	vs PY	vs PY%
Gross Sales	27,104.7	23,945.2	3,159.5	13.2%
Sales Discounts	(143.3)	(76.0)	(67.3)	88.6%
Net Sales	26,961.4	23,869.3	3,092.1	13.0%
Plimpton & Hills	17,912.1	16,252.8	1,659.3	10.2%
RJ Murray	3,777.1	3,515.5	261.6	7.4%
Coastal	5,272.2	4,100.9	1,171.3	28.6%
Total COGS	18,715.0	16,392.1	(2,322.9)	-14.2%
Plimpton & Hills	12,007.9	10,860.1	(1,147.8)	-10.6%
RJ Murray	2,984.3	2,783.4	(200.9)	-7.2%
Coastal	3,722.8	2,748.6	(974.2)	-35.4%
Gross Profit	8,246.4	7,477.2	769.2	10.3%
Plimpton & Hills	5,904.2	5,392.7	511.5	9.5%
RJ Murray	792.8	732.2	60.6	8.3%
Coastal	1,549.4	1,352.3	197.1	14.6%
Gross Margin	30.6%	31.3%	-0.7%	-2.4%
Plimpton & Hills	33.0%	33.2%	-0.2%	-0.7%
RJ Murray	21.0%	20.8%	0.2%	0.8%
Coastal	29.4%	33.0%	-3.6%	-10.9%
Total OpEx	4,688.4	4,424.8	(263.5)	-6.0%
Plimpton & Hills	3,363.2	3,311.4	(51.8)	-1.6%
RJ Murray	342.5	340.1	(2.4)	-0.7%
Coastal	900.4	773.3	(127.1)	-16.4%
Hills Distribution	82.3	-	(82.3)	0.0%
EBITDA	3,558.1	3,052.4	505.7	16.6%
Plimpton & Hills	2,541.0	2,081.3	459.7	22.1%
RJ Murray	450.3	392.0	58.3	14.9%
Coastal	649.0	579.0	70.0	12.1%
Hills Distribution	(82.3)	-	(82.3)	0.0%

July 2025 adjusted EBITDA increased ~17% on a prof-forma basis against prior year, primarily driven by higher sales across each portfolio company, coupled with lower operating expenses incurred by each company.

Hills Distribution Holdings LLC
Q2 2025
Operating Results

Debt Compliance Calculation (Figures in \$000s)

	Plimpton & Hills	Coastal Supply	RJ Murray	Total		Leverage calculation	
						31-Jul-25	31-Dec-25
Term Loan							
Original Principal	\$ 85,000	\$ 23,000	\$ 20,000	\$ 128,000	Total debt	141,510	140,870
Balance at July 31, 2025	83,725	22,885	19,900	126,510	Cash	(19,639)	(14,000)
Remaining principal payments in 2025	(425)	(115)	(100)	(640)	Net debt	121,871	126,870
Balance at December 31, 2025	83,300	22,770	19,800	125,870	TTM EBITDA	31,822	32,145
Revolver	15,000	-	-	15,000	Total Leverage	4.4	4.4
Total Debt at Year-End	\$ 98,300	\$ 22,770	\$ 19,800	\$ 140,870	Net leverage	3.8	3.9

Hills Distribution Holdings LLC

Q2 2025

Operating Results

Net Income to EBITDA Reconciliation

	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25
Reported Adjusted EBITDA ex HDH	2,275.32	1,631.05	2,364.72	3,040.03	3,332.04	3,904.69	3,588.05
HDH ATL	(34.87)	(27.28)	(41.67)	(36.45)	(71.11)	(278.49)	(75.59)
Total Adjusted EBITDA	2,240.45	1,603.77	2,323.05	3,003.58	3,260.93	3,626.20	3,512.46
P&H Addbacks							
Interest Expense	950.00	950.00	950.00	950.00	950.00	950.00	950.00
Depreciation & Amortization	1,729.81	1,729.81	1,729.81	1,729.81	2,381.52	1,289.76	1,748.93
Taxes	-	-	-	-	202.32	7.04	47.45
Interest Income	-	-	-	-	-	-	-
Sponsor/Director Costs	28.57	36.82	-	-	-	-	-
Restructuring	-	16.27	0.50	0.50	0.50	0.50	0.50
Extraordinary, unusual or nonrecurring	82.55	69.91	170.04	103.53	102.75	318.61	769.07
Recruiting/Retention Costs	50.00	-	-	-	-	-	-
Non-Cash Purchase Acct	-	-	-	-	-	-	-
Other (See Detail)	-	-	-	-	-	-	-
Proforma RunRate Savings	-	-	-	-	-	-	-
Holding Company Addbacks							
Interest Expense	-	-	-	-	-	-	-
Depreciation & Amortization	-	-	-	-	-	-	-
Taxes	-	-	-	-	-	-	-
Interest Income	(10.59)	(7.49)	(10.38)	(10.27)	(10.72)	(9.96)	(13.44)
Sponsor/Director Costs	-	-	245.61	12.87	10.21	250.29	19.94
Restructuring	-	-	-	-	-	-	-
Extraordinary, unusual or nonrecurring	78.17	59.93	28.58	65.56	38.22	52.15	31.16
Recruiting/Retention Costs	-	-	-	-	-	-	-
Transaction Costs	-	-	-	-	-	-	-
Executive Costs less ABL	82.69	376.24	251.68	150.37	106.57	100.12	103.04
Additional Portcos							
Coastal Supply Group							
Interest Expense	205.92	216.68	203.28	221.37	196.81	219.74	195.77
Depreciation & Amortization	133.25	133.25	133.25	133.25	133.88	127.80	132.50
Taxes	-	-	-	-	-	-	-
Extraordinary, unusual or nonrecurring	-	-	-	-	82.12	66.62	27.39
Interest Income	(1.18)	(1.03)	(1.15)	(1.09)	(1.12)	(1.12)	(1.13)
Other (See Detail)	-	-	-	156.07	-	(3.74)	-
Proforma EBITDA	-	-	-	-	-	-	-
RJ Murray							
Interest Expense	-	-	522.26	159.48	171.14	189.07	171.53
Depreciation & Amortization	3.00	3.00	3.00	3.00	3.00	527.25	91.34
Taxes	15.72	0.49	-	0.50	-	-	0.11
Interest Income	(0.41)	(0.43)	(1.14)	(1.78)	(1.19)	(1.05)	(0.54)
(Gain)/Loss on FA	-	-	-	-	-	0.12	-
Extraordinary, unusual or nonrecurring	16.35	0.84	-	33.71	9.98	130.10	21.71
Proforma EBITDA	-	-	-	-	-	-	-
Total Addbacks	3,363.87	3,584.28	4,225.35	3,706.88	4,375.98	4,213.30	4,295.31
Addbacks subject to 25% Limit	309.77	523.19	450.80	353.66	340.13	668.11	952.86
Net Income	(1,123.42)	(1,980.51)	(1,902.30)	(703.30)	(1,115.05)	(587.10)	(782.85)
LTM Reported EBITDA	23,978.67	23,939.39	24,433.92	25,543.87	26,919.51	28,552.09	29,983.21
LTM Pro Forma EBITDA	28,993.41	28,868.52	28,976.04	29,635.57	30,465.59	31,333.21	31,797.61
Addbacks subject to limit	3,880.93	4,240.60	4,587.34	4,740.88	4,793.91	5,294.49	5,869.16
LTM Addbacks % of LTM Reported EBITDA	16.2%	17.7%	18.8%	18.6%	17.8%	18.5%	19.6%
LTM Addbacks % of LTM Proforma EBITDA	13.4%	14.7%	15.8%	16.0%	15.7%	16.9%	18.5%